HOUSE SUBSTITUTE FOR

SENATE BILL NO. 723

A bill to amend 1996 PA 381, entitled
"Brownfield redevelopment financing act,"
by amending sections 2, 13c, 14a, and 16 (MCL 125.2652, 125.2663c, 125.2664a, and 125.2666), as amended by 2023 PA 90, and by adding sections 16a and 16b.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

Sec. 2. As used in this act:

(a) "Authority" means a brownfield redevelopment authority created under this act.

(b) "Baseline environmental assessment" means that term as defined in part 201 or 213.

(c) "Blighted" means property that meets any of the following criteria as determined by the governing body:

(*i*) Has been declared a public nuisance in accordance with a local housing, building, plumbing, fire, or other related code or ordinance.

(*ii*) Is an attractive nuisance to children because of physical condition, use, or occupancy.

(*iii*) Is a fire hazard or is otherwise dangerous to the safety of persons or property.

(*iv*) Has had the utilities, plumbing, heating, or sewerage permanently disconnected, destroyed, removed, or rendered ineffective so that the property is unfit for its intended use.

(*v*) Is previously developed or tax reverted property owned by a municipality or by this state. The sale, lease, or transfer of previously developed or tax reverted property by a municipality or this state after the property's inclusion in a brownfield plan does not result in the loss to the property of the status as blighted property for purposes of this act.

(*vi*) Is property owned by or under the control of a land bank fast track authority, whether or not located within a qualified local governmental unit. Property included within a brownfield plan before the date it meets the requirements of this subdivision to be eligible property is considered to become eligible property as of the date the property is determined to have been or becomes qualified as, or is combined with, other eligible property. The sale, lease, or transfer of the property by a land bank fast track authority after the property's inclusion in a brownfield plan does not result in the loss to the property of the status as blighted property for purposes of this act.

(*vii*) Has substantial buried subsurface demolition debris present so that the property is unfit for its intended use.

(d) "Board" means the board that supervises and controls an authority under section 5.

(e) "Brownfield plan" means a plan that meets the requirements of sections 13 and 13b and is adopted under section 14.

(f) "Captured taxable value" means the amount in 1 year by which the current taxable value of an eligible property subject to a brownfield plan, including the taxable value or assessed value, as appropriate, of the property for which specific taxes are paid in lieu of property taxes, exceeds the initial taxable value of that eligible property. The state tax commission shall prescribe the method for calculating captured taxable value.

(g) "Chief executive officer" means the mayor of a city, the village manager of a village, the township supervisor of a township, or the county executive of a county or, if the county does not have an elected county executive, the chairperson of the county board of commissioners.

(h) "Combined brownfield plan" means a brownfield plan that also includes the information necessary to submit the plan to the department, Michigan state housing development authority, or Michigan strategic fund under section 15(20).

(i) "Construction period tax capture revenues" means funds equal to the amount of income tax levied and imposed in a calendar year on wages paid to individuals physically present and working within the eligible property for the construction, renovation, or other improvement of eligible property that is an eligible activity within a transformational brownfield plan. As used in this subdivision, "wages" means that term as defined in section 3401 of the internal revenue code of 1986, 26 USC 3401. To calculate the amount of construction period tax capture revenues for a calendar year under a transformational brownfield plan, the state treasurer shall do all of the following:

(*i*) Require the owner or developer of the eligible property to report the total taxable wages paid to individuals for the construction, renovation, or other improvement of eligible property that is an eligible activity within the transformational brownfield plan. The wages reported under this subparagraph must exclude any wages paid to employees of the owner or developer.

(*ii*) Multiply the amount under subparagraph (*i*) by the effective rate as determined by the state treasurer at which the income tax is levied on an individual in this state. The state treasurer shall estimate the effective rate by taking into account the effect of any exemptions, additions, subtractions, and credits allowable under part 1 of the income tax act of 1967, 1967 PA 281, MCL 206.1 to 206.532. The state treasurer may require the owner or developer to submit any information necessary for the calculation under this subparagraph.

(*iii*) The wage information and other information required under this subdivision must be provided to the department of treasury by the owner or developer in a manner prescribed by the state treasurer. The state treasurer may require the owner or developer to provide a review or reconciliation of the wages by an independent auditing firm.

(j) "Corrective action" means that term as defined in part 111 or part 213.

(k) "Department" means the department of environment, Great Lakes, and energy.

(*l*) "Department specific activities" means baseline environmental assessments, due care activities, response activities, and other environmentally related actions that are eligible activities and are identified as a part of a brownfield plan that are in addition to the minimum due care activities required by part 201, including, but not limited to:

(*i*) Response activities that are more protective of the public health, safety, and welfare and the environment than required by section 20107a, 20114, or 21304c of the natural resources and environmental protection act, 1994 PA 451, MCL 324.20107a, 324.20114, and 324.21304c.

(*ii*) Removal and closure of underground storage tanks pursuant to part 211 or 213.

(*iii*) Disposal of solid waste, as defined in part 115 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.11501 to 324.11587, from the eligible property, if the solid waste was not generated or accumulated by the authority or the developer.

(*iv*) Dust control related to construction activities.

(*v*) Removal and disposal of lake or river sediments exceeding part 201 criteria from, at, or related to an economic development project if the upland property is either a facility or would become a facility as a result of the deposition of dredged spoils.

(*vi*) Industrial cleaning.

(*vii*) Sheeting and shoring necessary for the removal of materials exceeding part 201 criteria at projects requiring a permit pursuant to part 301, 303, or 325 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.30101 to 324.30113, 324.30301 to 324.30328, and 324.32501 to 324.32515a.

(*viii*) Lead, mold, or asbestos abatement when lead, mold, or asbestos pose an imminent and significant threat to human health.

(*ix*) Environmental insurance.

(m) "Due care activities" means those response activities identified as part of a brownfield plan that are necessary to allow the owner or operator of an eligible property in the plan to comply with the requirements of section 20107a or 21304c of the natural resources and environmental protection act, 1994 PA 451, MCL 324.20107a and 324.21304c.

(n) "Economic opportunity zone" means 1 or more parcels of property that meet all of the following:

(*i*) That together are 40 or more acres in size.

(*ii*) That contain or contained a manufacturing operation or an enclosed mall that consists or consisted of 300,000 or more square feet.

(*iii*) That are located in a municipality that is contiguous to a qualified local governmental unit.

(o) "Eligible activities" or "eligible activity" means 1 or more of the following:

(*i*) For all eligible properties, eligible activities include all of the following:

(A) Department specific activities.

(B) Relocation of public buildings or operations for economic development purposes.

(C) Reasonable costs of environmental insurance.

(D) Reasonable costs incurred to develop and prepare brownfield plans, combined brownfield plans, or work plans for the eligible property, including legal and consulting fees that are not in the ordinary course of acquiring and developing real estate.

(E) Reasonable costs of brownfield plan and work plan implementation, including, but not limited to, tracking and reporting of data and plan compliance, including costs to implement, monitor, and maintain compliance with the income and price monitoring responsibilities associated with housing development activities, and the reasonable costs incurred to estimate and determine actual costs incurred, whether those costs are incurred by a municipality, authority, or private developer.

(F) Demolition of structures or site improvements that are not a response activity, including removal of manufactured debris composed of discarded, unused, or unusable manufactured by-products left on the site by a previous owner. The removal of the manufactured by-products left on the site described in this sub-subparagraph is not eligible for interest reimbursement under sub-subparagraph (H).

(G) Lead, asbestos, or mold abatement.

(H) Except as otherwise provided in sub-subparagraph (F), the repayment of principal of and interest on any obligation issued by an authority to pay the costs of eligible activities attributable to an eligible property.

(*ii*) For housing property located in a community that has identified a specific housing need and has absorption data or job growth data included in the brownfield plan, eligible activities include all of the following:

(A) The activities described in subparagraph (*i*).

(B) Housing development activities.

(C) Infrastructure improvements that are necessary for housing property and support housing development activities.

(D) Site preparation that is not a response activity and that supports housing development activities.

(*iii*) For eligible properties located in a qualified local governmental unit, or an economic opportunity zone, or that are a former mill, eligible activities include all of the following:

(A) The activities described in subparagraph (*i*).

(B) Infrastructure improvements that directly benefit eligible property.

(C) Site preparation that is not a response activity.

(*iv*) For eligible properties that are owned by or under the control of a land bank fast track authority, or a municipality or authority, eligible activities include all of the following:

(A) The eligible activities described in subparagraphs (*i*), (*ii*), and (*iii*).

(B) Assistance to a land bank fast track authority in clearing or quieting title to, or selling or otherwise conveying, property owned by or under the control of a land bank fast track authority or the acquisition of property by the land bank fast track authority if the acquisition of the property is for economic development purposes.

(C) Assistance to a municipality or authority in clearing or quieting title to, or selling or otherwise conveying, property owned by or under the control of a municipality or authority or the acquisition of property by a qualified local governmental unit or authority if the acquisition of the property is for economic development purposes.

(*v*) For eligible activities on eligible property that is included in a transformational brownfield plan, any demolition, construction, restoration, alteration, renovation, or improvement of buildings or site improvements on eligible property, including infrastructure improvements that directly benefit eligible property.

(*vi*) For eligible activities on eligible property that is a qualified facility that is not located in a qualified local governmental unit and that is a facility, functionally obsolete, or blighted, the following additional activities:

(A) The activities described in subparagraph (*i*).

(B) Infrastructure improvements that directly benefit eligible property.

(C) Site preparation that is not a response activity.

(p) "Eligible property" means either of the following:

(*i*) Except as otherwise provided in sub-subparagraph (G), property for which eligible activities are identified under a brownfield plan that was used or is currently used for commercial, industrial, public, or residential purposes, including personal property located on the property, or former dumps, landfills, and other areas filled with nonnative material, to the extent included in the brownfield plan, and that meets 1 or more of the following conditions listed in sub-subparagraphs (A) to (F):

(A) Is in a qualified local governmental unit and is a facility or a site or property as those terms are defined in part 213, historic resource, functionally obsolete, or blighted and includes parcels that are adjacent or contiguous to that property if the development of the adjacent and contiguous parcels is estimated to increase the captured taxable value of that property.

(B) Is not in a qualified local governmental unit and is a facility, historic resource, functionally obsolete, blighted, or a site or property as those terms are defined in part 213, and includes parcels that are adjacent or contiguous to that property if the development of the adjacent and contiguous parcels is estimated to increase the captured taxable value of that property.

(C) Is tax reverted property owned by or under the control of a land bank fast track authority.

(D) Is a transit-oriented development or transit-oriented property.

(E) Is located in a qualified local governmental unit and contains a targeted redevelopment area.

(F) Is undeveloped property that was eligible property in a previously approved brownfield plan abolished under section 14(8).

(G) Eligible property does not include qualified agricultural property exempt under section 7ee of the general property tax act, 1893 PA 206, MCL 211.7ee, from the tax levied by a local school district for school operating purposes to the extent provided under section 1211 of the revised school code, 1976 PA 451, MCL 380.1211.

(*ii*) Housing property for which eligible activities are identified under a brownfield plan **implemented under section 13 only**, including personal property located on the property, to the extent included in the brownfield plan. **Eligible property under this subparagraph does not include housing property for which eligible activities are identified under a transformational brownfield plan implemented under section 13c. This subparagraph does not prevent housing property for which eligible activities are identified under a transformational brownfield plan implemented under section 13c from qualifying as eligible property under subparagraph (*i*) if the requirements under subparagraph (*i*) are met.**

(q) "Environmental insurance" means liability insurance for environmental contamination and cleanup that is not otherwise required by state or federal law.

(r) "Facility" means that term as defined in part 201.

(s) "Fiscal year" means the fiscal year of the authority.

(t) "Former mill" means a former mill that has not been used for industrial purposes for the immediately preceding 2 years, that is not located in a qualified local governmental unit, that is a facility or is a site or a property as those terms are defined in part 213, functionally obsolete, or blighted, and that is located within 15 miles of a river that is a federal superfund site listed under the comprehensive environmental response, compensation and liability act of 1980, 42 USC 9601 to 9675, and that is located in a municipality with a population of less than 10,000.

(u) "Functionally obsolete" means that the property is unable to be used to adequately perform the function for which it was intended due to a substantial loss in value resulting from factors such as overcapacity, changes in technology, deficiencies or superadequacies in design, or other similar factors that affect the property itself or the property's relationship with other surrounding property.

(v) "Governing body" means the elected body having legislative powers of a municipality creating an authority under this act.

(w) "Historic resource" means that term as defined in section 90a of the Michigan strategic fund act, 1984 PA 270, MCL 125.2090a.

(x) "Housing development activities" means 1 or more of the following:

(*i*) Reimbursement provided to owners of rental housing units for qualified rehabilitation.

(*ii*) Costs for infrastructure available for public use and safety improvements necessary for a housing project.

(*iii*) Costs of demolition and renovation of existing buildings and site preparation, to the extent necessary to accommodate an income qualified purchaser household or income qualified renting household.

(*iv*) Temporary household relocation costs for an income qualified household for a period not to exceed 1 year.

(*v*) Acquisition cost for blighted or obsolete rental units, to the extent the acquisition would promote rehabilitation or adaptive reuse of the blighted or obsolete rental unit to accommodate an income qualified purchaser household or income qualified renting household.

(*vi*) Reimbursement provided to a developer to fill a financing gap associated with the development of housing units priced for income qualified households and to assist with costs related to infrastructure improvements and site preparation that are not a response activity and that are necessary for new housing development for income qualified households on eligible property.

(y) "Housing property" means 1 or more of the following:

(*i*) A property on which 1 or more units of residential housing are proposed to be constructed, rehabilitated, or otherwise designed to be used as a dwelling.

(*ii*) One or more units of residential housing proposed to be constructed or rehabilitated and located in a mixed-use project.

(z) "Income qualified household" means a person, a family, or unrelated persons living together, whose annual household income is not more than 120% of the area median income. As used in this subdivision:

(*i*) "Area median income" means the median income for the area as determined under section 8 of the United States housing act of 1937, 42 USC 1437f, adjusted for family size.

(*ii*) "Household income" means all income received by all individuals who are not less than 24 years of age when the household income is determined and who reside in a household while members of the household.

(aa) "Income qualified purchaser household" means a purchaser who is, or who is a member of, an income qualified household.

(bb) "Income qualified renting household" means a renter who is, or who is a member of, an income qualified household.

(cc) "Income tax" means the tax levied and imposed under part 1 of the income tax act of 1967, 1967 PA 281, MCL 206.1 to 206.532.

(dd) "Income tax capture revenues" means, with respect to each eligible property subject to a transformational brownfield plan, funds equal to the amount for each tax year by which the aggregate income tax from individuals residing within the eligible property subject to a transformational brownfield plan exceeds the initial income tax value. Subject to subparagraph (*iii*), the state treasurer shall calculate annually the income tax capture revenues associated with each transformational brownfield plan. In calculating income tax capture revenues, the state treasurer shall subtract from the aggregate amount of income tax credits under sections 255, 265, 266, **266a**, and chapter 9 of the income tax act of 1967, 1967 PA 281, MCL 206.255, 206.265, 206.266, **206.266a**, and 206.501 to 206.532. The state treasurer shall require the owner or developer of the eligible property to provide to the department of treasury all of the following information at the end of each calendar year, including the year in which the resolution adding that eligible property in the transformational brownfield plan is adopted:

(*i*) A list of addresses for all residential units, rental or owner-occupied, within the eligible property.

(*ii*) Any other information that may be necessary to calculate the income tax capture revenues. The information required under this subdivision must be provided in a manner prescribed by the state treasurer.

(*iii*) Notwithstanding anything to the contrary in this subdivision, instead of the reporting and calculation methods otherwise provided for, the owner or developer of a transformational brownfield project site may elect to utilize a safe harbor method of calculating income tax capture revenues. Under this safe harbor method, the Michigan strategic fund shall establish a safe harbor amount of annual income tax capture revenues for each eligible property when the Michigan strategic fund approves the transformational brownfield plan, and those amounts shall serve as the basis for the transmittal of income tax capture revenues to the owner or developer of the transformational project site under section 8a(4). The Michigan strategic fund shall establish the safe harbor amount for an eligible property by imputing a standard annual taxable income for households residing within the eligible property or portion of the eligible property. The safe harbor is effective only to the extent that the residential units within the eligible property or portion of the eligible property are actively leased or, in the case of units made available for sale, sold in an arms-length transaction. Imputations as to standard household taxable income may vary based on location and other relevant factors. The Michigan strategic fund may adjust the safe harbor amount for an eligible property, or portion of the eligible property, after the time of transformational brownfield plan approval as required to reflect changes in the transformational brownfield plan for the transformational project site that may occur after approval of the transformational brownfield plan, if those changes do not result in an aggregate increase in the level of income tax capture revenues from the amount initially established. ~~The~~ **Except as otherwise provided in this subparagraph, the** owner or developer of the transformational project site may elect to utilize the safe harbor method of accounting at any time before the first reimbursement of income tax capture revenues under the transformational brownfield plan. **For any new project approved by the Michigan strategic fund board after December 31, 2026, the owner or developer of the transformational project site must elect to utilize the safe harbor method of accounting before approval of the project by the Michigan strategic fund board.** An election to utilize the safe harbor method of accounting, once made, cannot be rescinded. **As used in this subdivision, "Michigan strategic fund board" means the board of directors of the Michigan strategic fund under section 5 of the Michigan strategic fund act, 1984 PA 270, MCL 125.2005.**

(ee) "Industrial cleaning" means cleaning or removal of contaminants from within a structure necessary to achieve the intended use of the property.

(ff) "Infrastructure improvements" means a street, road, sidewalk, parking facility, pedestrian mall, alley, bridge, sewer, sewage treatment plant, property designed to reduce, eliminate, or prevent the spread of identified soil or groundwater contamination, drainage system, waterway, waterline, water storage facility, rail line, utility line or pipeline, transit-oriented development, transit-oriented property, or other similar or related structure or improvement, together with necessary easements for the structure or improvement, owned or used by a public agency or functionally connected to similar or supporting property owned or used by a public agency, or designed and dedicated to use by, for the benefit of, or for the protection of the health, welfare, or safety of the public generally, whether or not used by a single business entity, if any road, street, or bridge is continuously open to public access and other property is located in public easements or rights-of-way and sized to accommodate reasonably foreseeable development of eligible property in adjoining areas. Infrastructure improvements also include 1 or more of the following whether publicly or privately owned or operated or located on public or private property:

(*i*) Underground parking.

(*ii*) Multilevel parking structures.

(*iii*) Urban stormwater management systems.

(gg) "Initial income tax value" means, with respect to each eligible property subject to a transformational brownfield plan, the aggregate amount of income tax less credits under sections 255, 265, 266, **266a,** and chapter 9 of the income tax act of 1967, 1967 PA 281, MCL 206.255, 206.265, 206.266, **206.266a,** and 206.501 to 206.532, from individuals residing within the eligible property for the ~~tax~~ **base** year **specified** in ~~which~~ the resolution ~~adding that~~ **that adds the** eligible property in the transformational brownfield plan. ~~is adopted.~~

(hh) "Initial sales and use tax value" means, with respect to each eligible property subject to a transformational brownfield plan, the aggregate amount of sales tax and use tax collected from persons located within the eligible property for the ~~tax~~ **base** year **specified** in ~~which~~ the resolution ~~adding that~~ **that adds the** eligible property in the transformational brownfield plan. ~~is adopted.~~ For persons with multiple business locations, the applicable amount of sales tax and use tax for purposes of this act is only the sales tax and use tax collections attributable to the business location within the eligible property.

(ii) "Initial taxable value" means the taxable value of an eligible property identified in and subject to a brownfield plan at the time the resolution adding that eligible property in the brownfield plan is adopted, as shown either by the most recent assessment roll for which equalization has been completed at the time the resolution is adopted or, if provided by the brownfield plan, by the next assessment roll for which equalization will be completed following the date the resolution adding that eligible property in the brownfield plan is adopted. Property exempt from taxation at the time the initial taxable value is determined is included with the initial taxable value of zero. Property for which a specific tax is paid in lieu of property tax is not considered exempt from taxation. The state tax commission shall prescribe the method for calculating the initial taxable value of property for which a specific tax was paid in lieu of property tax. The initial assessed value may be modified by lowering the initial assessed value once during the term of the brownfield plan through an amendment as provided in section 14 after the tax increment financing plan fails to generate captured taxes for 3 consecutive years due to declines in assessed value.

(jj) "Initial withholding tax value" means, with respect to each eligible property subject to a transformational brownfield plan, the amount of income tax withheld under chapter 17 of the income tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715,~~ **206.718,** from individuals employed within the eligible property for the ~~calendar~~ **base** year **specified** in ~~which~~ the resolution ~~adding the~~ **that adds the** eligible property to the plan. ~~is adopted.~~ The initial withholding tax value does not include construction period tax capture revenues.

(kk) "Land bank fast track authority" means an authority created under the land bank fast track act, 2003 PA 258, MCL 124.751 to 124.774.

(*ll*) "Local taxes" means all taxes levied other than taxes levied for school operating purposes.

(mm) "Michigan state housing development authority" means the Michigan state housing development authority created in section 21 of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1421.

(nn) "Michigan strategic fund" means the Michigan strategic fund created under the Michigan strategic fund act, 1984 PA 270, MCL 125.2001 to 125.2094.

(oo) "Mixed-use" means a real estate project with planned integration of some combination of retail, office, residential, or hotel uses.

(pp) "Municipality" means all of the following:

(*i*) A city.

(*ii*) A village.

(*iii*) A township in those areas of the township that are outside of a village.

(*iv*) A township in those areas of the township that are in a village on the concurrence by resolution of the village in which the zone would be located.

(*v*) A county.

(qq) "Owned by or under the control of" means that a land bank fast track authority, a municipality, or a qualified local governmental unit has 1 or more of the following:

(*i*) An ownership interest in the property.

(*ii*) A tax lien on the property.

(*iii*) A tax deed to the property.

(*iv*) A contract with this state or a political subdivision of this state to enforce a lien on the property.

(*v*) A right to collect delinquent taxes, penalties, or interest on the property.

(*vi*) The ability to exercise its authority over the property.

(rr) "Part 111", "part 201", "part 211", or "part 213" means that part as described as follows:

(*i*) Part 111 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.11101 to 324.11153.

(*ii*) Part 201 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.20101 to 324.20142.

(*iii*) Part 211 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.21101 to 324.21113.

(*iv*) Part 213 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.21301a to 324.21334.

(ss) "Previously developed property" means property that was part of an existing developed residential, commercial, or industrial zone and contained a structure serviced by utilities, or former dumps, landfills, and other areas filled with nonnative material.

(tt) "Qualified facility" means a landfill facility area of 15 or more contiguous acres that is located in a city and that contains, contained, or is adjacent to a landfill, a material recycling facility, or an asphalt plant that is no longer in operation.

(uu) "Qualified local governmental unit" means that term as defined in the obsolete property rehabilitation act, 2000 PA 146, MCL 125.2781 to 125.2797.

(vv) "Qualified rehabilitation" means rehabilitation of existing structures that is necessary to make a housing unit suitable for sale to an income qualified purchaser household or rent to an income qualified renting household. Qualified rehabilitation also includes proposed rehabilitation that will bring the structure into conformance with minimum local building code standards for occupancy or improve the livability of the units while meeting minimum local building code standards. As used in this subsection, "existing structures" includes any structure designed to be used as a dwelling.

(ww) "Qualified taxpayer" means that term as defined in sections 38d and 38g of former 1975 PA 228, or section 437 of the Michigan business tax act, 2007 PA 36, MCL 208.1437, or a recipient of a community revitalization incentive as described in section 90a of the Michigan strategic fund act, 1984 PA 270, MCL 125.2090a.

(xx) "Release" means that term as defined in part 201 or part 213.

(yy) "Response activity" means either of the following:

(*i*) Response activity as that term is defined in part 201.

(*ii*) Corrective action.

(zz) "Sales tax" means the tax levied under the general sales tax act, 1933 PA 167, MCL 205.51 to 205.78.

(aaa) "Sales and use tax capture revenues" means, with respect to each eligible property subject to a transformational brownfield plan, the amount for each calendar year by which the sales tax and use tax collected from persons within the eligible property exceeds the initial sales and use tax value. For persons with multiple business locations, the applicable amount of sales tax and use tax for purposes of this act is only the sales tax and use tax collections attributable to the business location within the eligible property. To calculate sales and use tax capture revenues for a calendar year under a transformational brownfield plan, the state treasurer or the Michigan strategic fund shall do all of the following:

(*i*) The state treasurer shall develop methods and processes that are necessary for each applicable person within the eligible property to report the amount of sales and use tax from that location.

(*ii*) The Michigan strategic fund shall include all of the following provisions in the development or reimbursement agreement for any transformational brownfield plan that utilizes sales and use tax capture revenues:

(A) That the owner or developer of the eligible property shall require each applicable person occupying the eligible property to comply with the reporting requirements under this section through a contract requirement, lease requirement, or other similar means.

(B) That reimbursement of sales and use tax capture revenues is limited to amounts that are reported in accordance with this section, and this state has no obligation with respect to sales and use tax capture revenues that are not reported or paid.

(bbb) "Specific taxes" means all of the following:

(*i*) A tax levied under any of the following:

(A) 1974 PA 198, MCL 207.551 to 207.572.

(B) The commercial redevelopment act, 1978 PA 255, MCL 207.651 to 207.668.

(C) The enterprise zone act, 1985 PA 224, MCL 125.2101 to

125.2123.

(D) 1953 PA 189, MCL 211.181 to 211.182.

(E) The technology park development act, 1984 PA 385, MCL 207.701 to 207.718.

(F) The obsolete property rehabilitation act, 2000 PA 146, MCL 125.2781 to 125.2797.

(G) The neighborhood enterprise zone act, 1992 PA 147, MCL 207.771 to 207.786.

(H) The commercial rehabilitation act, 2005 PA 210, MCL 207.841 to 207.856.

(I) The attainable housing facilities act, 2022 PA 236, MCL 207.901 to 207.916.

(J) The residential housing facilities act, 2022 PA 237, MCL 207.951 to 207.966.

(*ii*) That portion of the tax levied under the tax reverted clean title act, 2003 PA 260, MCL 211.1021 to 211.1025a, that is not required to be distributed to a land bank fast track authority.

(ccc) "State brownfield redevelopment fund" means the state brownfield redevelopment fund created in section 8a.

(ddd) "Targeted redevelopment area" means not fewer than 40 and not more than 500 contiguous parcels of real property located in a qualified local governmental unit and designated as a targeted redevelopment area by resolution of the governing body and approved by the Michigan strategic fund. A qualified local governmental unit is limited to designating no more than 2 targeted redevelopment areas for the purposes of this section in a calendar year. The Michigan strategic fund may approve no more than 5 targeted redevelopment areas for the purposes of this section in a calendar year.

(eee) "Tax increment revenues" means the amount of ad valorem property taxes and specific taxes attributable to the application of the levy of all taxing jurisdictions on the captured taxable value of each parcel of eligible property subject to a brownfield plan and personal property located on that property, regardless of whether those taxes began to be levied after the brownfield plan was adopted. Tax increment revenues also include the amount of any payment in lieu of taxes under section 15a(3) of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1415a, paid on an eligible property subject to a brownfield plan, less the amount of property taxes levied on the eligible property subject to the brownfield plan for the year the eligible property became subject to the brownfield plan. Tax increment revenues do not include any of the following:

(*i*) Ad valorem property taxes specifically levied for the payment of principal of and interest on either obligations approved by the electors or obligations pledging the unlimited taxing power of the local governmental unit, and specific taxes attributable to those ad valorem property taxes.

(*ii*) For tax increment revenues attributable to eligible property, the amount of ad valorem property taxes or specific taxes captured by a downtown development authority under part 2 of the recodified tax increment financing act, 2018 PA 57, MCL 125.4201 to 125.4230, tax increment finance authority under part 3 of the recodified tax increment financing act, 2018 PA 57, MCL 125.4301 to 125.4329, corridor improvement authority under part 6 of the recodified tax increment financing act, 2018 PA 57, MCL 125.4602 to 125.4629, or local development finance authority under part 4 of the recodified tax increment financing act, 2018 PA 57, MCL

125.4401 to 125.4420, if those taxes were captured by these other authorities on the date that eligible property became subject to a brownfield plan under this act, unless these other authorities agree to forgo or transfer their taxes in support of the brownfield plan.

(*iii*) Ad valorem property taxes levied under 1 or more of the following or specific taxes attributable to those ad valorem property taxes:

(A) The zoological authorities act, 2008 PA 49, MCL 123.1161 to 123.1183.

(B) The art institute authorities act, 2010 PA 296, MCL 123.1201 to 123.1229.

(fff) "Taxable value" means the value determined under section 27a of the general property tax act, 1893 PA 206, MCL 211.27a.

(ggg) "Taxes levied for school operating purposes" means all of the following:

(*i*) The taxes levied by a local school district for operating purposes.

(*ii*) The taxes levied under the state education tax act, 1993 PA 331, MCL 211.901 to 211.906.

(*iii*) That portion of specific taxes attributable to taxes described under subparagraphs (*i*) and (*ii*).

(hhh) "Transformational brownfield plan" means a brownfield plan that meets the requirements of section 13c and is adopted under section 14a and, as designated by resolution of the governing body and approved by the Michigan strategic fund, will have a transformational impact on local economic development and community revitalization based on the extent of brownfield redevelopment and growth in population, commercial activity, and employment that will result from the plan. To be designated a transformational brownfield plan, a transformational brownfield plan under this subdivision must be for mixed-use development unless waived by the Michigan strategic fund as provided under section 14a(26) and must be expected to result in the following levels of capital investment:

(*i*) In a municipality that is not a county and that has a population of not less than 600,000, $500,000,000.00.

(*ii*) In a municipality that is not a county and that has a population of not less than 150,000 and not more than 599,999, $100,000,000.00.

(*iii*) In a municipality that is not a county and that has a population of not less than 100,000 and not more than 149,999, $75,000,000.00.

(*iv*) In a municipality that is not a county and that has a population of not less than 50,000 and not more than 99,999, $50,000,000.00.

(*v*) In a municipality that is not a county and that has a population of not less than 25,000 and not more than 49,999, $25,000,000.00.

(*vi*) In a municipality that is not a county and that has a population of less than 25,000, $15,000,000.00.

(iii) "Transit-oriented development" means infrastructure improvements that are located within 1/2 mile of a transit station or transit-oriented property that promotes transit ridership or passenger rail use as determined by the board and approved by the municipality in which it is located.

(jjj) "Transit-oriented property" means property that houses a transit station in a manner that promotes transit ridership or passenger rail use.

(kkk) "Use tax" means the tax levied under the use tax act, 1937 PA 94, MCL 205.91 to 205.111, including both the local community stabilization share and the state share as those terms are defined in section 2c of the use tax act, 1937 PA 94, MCL 205.92c.

(*lll*) "Withholding-disqualified employee" means an employee, other than a retail employee or hospitality employee, who meets both of the following conditions:

(*i*) Is employed by an employer that employs more than 50 employees in this state or that is receiving an economic incentive from the Michigan strategic fund.

(*ii*) Is employed in a position that is not a new job. As used in this subdivision:

(A) "Hospitality employee" means an individual employed at a hospitality establishment in a position that is responsible for ensuring a positive guest experience.

(B) "Hospitality establishment" means a place of business that provides 1 or more of the following services to guests:

(I) Accommodation services, including, but not limited to, hotels, motels, resorts, and bed and breakfast establishments.

(II) Food and beverage services, including, but not limited to, restaurants, cafes, bars, catering services, and nightclubs.

(C) "New job" means a job created by the employer within the eligible property that is in addition to the jobs the employer maintained in this state before the employer commenced occupancy within the eligible property. New job does not include either of the following:

(I) A position relocated from another location in this state

to within the eligible property.

(II) A position at another location in this state that was terminated or eliminated and rehired within the eligible property.

(D) "Retail employee" means an individual employed at a retail establishment.

(E) "Retail establishment" means a place of business open to the general public for the sale of goods or services to the final consumer.

(mmm) "Withholding-disqualified entity" means an entity that relocates its facility from another location in this state to within the eligible property and that does not do 1 of the following:

(*i*) Expand the size of its relocated facility.

(*ii*) Employ more individuals after the relocation than it did before the relocation.

(*iii*) Have another valid business reason for the relocation as documented by a third-party analysis.

(nnn) ~~(*lll*)~~ "Withholding tax capture revenues" means, with respect to each eligible property subject to a transformational brownfield plan, the amount for each calendar year by which the income tax withheld under chapter 17 of the income tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715,~~ **206.718,** from individuals employed within the eligible property exceeds the initial withholding tax value. Withholding tax capture revenues do not include income tax from individuals domiciled within the eligible property or construction period tax capture revenues. **For transformational brownfield plans approved after the effective date of the amendatory act that added section 16a, withholding tax capture revenues do not include income tax withholdings**

attributable to withholding-disqualified employees or employees of a withholding-disqualified entity. To calculate withholding tax capture revenues for a calendar year under a transformational brownfield plan, the state treasurer or the Michigan strategic fund shall do all of the following:

(*i*) The state treasurer shall require the owner or developer of the eligible property to provide the department of treasury with notice not more than 10 days from the date an employer commences or terminates occupancy within the eligible property. As used in this subdivision, "employer" means that term as defined in section 8 of the income tax act of 1967, 1967 PA 281, MCL 206.8.

(*ii*) The state treasurer shall develop methods and processes that are necessary for each employer occupying the eligible property to report **both of** the **following:**

(A) The amount of withholding under chapter 17 of the income tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715,~~ **206.718,** from individuals employed within the eligible property.

(B) For transformational brownfield plans approved after the effective date of the amendatory act that added section 16a, the information necessary to determine whether individuals employed within the eligible property are withholding-disqualified employees or employees of a withholding-disqualified entity. The methods and processes developed for an employer to report the information under this sub-subparagraph may require an employer to annually certify that employees within the eligible property are not withholding-disqualified employees and that the employer is not a withholding-disqualified entity.

(*iii*) The Michigan strategic fund shall include the following provisions in the development or reimbursement agreement for any transformational brownfield plan that utilizes withholding tax capture revenues:

(A) That the owner or developer of the eligible property shall require each employer occupying the eligible property to comply with the reporting requirements under this section through a contract requirement, lease requirement, or other similar means.

(B) That reimbursement of withholding tax capture revenues is limited to amounts that are reported in accordance with chapter 17 of the income tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715,~~ **206.718**, and this state has no obligation with respect to withholding tax capture revenues that are not reported or paid.

(*iv*) ~~Notwithstanding~~ **Except as otherwise provided in this subparagraph and notwithstanding** anything to the contrary in this subdivision, instead of the reporting and calculation methods otherwise provided for, the owner or developer of a transformational project site may elect to utilize a safe harbor method of calculating withholding tax capture revenues. **Use of the safe harbor method does not eliminate a reporting requirement described in subparagraph (*ii*)(B) or section 14a(7)(b).** Under ~~this~~ **the** safe harbor method, the Michigan strategic fund shall establish a safe harbor amount of annual withholding tax capture revenues for each eligible property when the Michigan strategic fund approves the transformational brownfield plan, and**, except as otherwise provided in this subparagraph**, those amounts shall serve as the basis for the transmittal of withholding tax capture revenues to the owner or developer of the transformational project site under section 8a(4). The Michigan strategic fund shall establish the safe harbor amount for an eligible property by imputing a standard level of employee occupancy that corresponds to the size and use of the eligible property or portion of the eligible property and a safe harbor average annual taxable wage for the individuals employed within the eligible property or portion of the eligible property. The safe harbor is effective only to the extent the eligible property or portion of the eligible property is actively occupied, as evidenced by the existence of a binding lease agreement or similar instrument. Imputations as to occupancy and wages may vary between projects based on location, the type and use of the eligible property, and other relevant factors. The Michigan strategic fund may adjust the safe harbor amount for an eligible property, or portion of the eligible property, after the time of plan approval as required to reflect changes in the transformational brownfield plan for the transformational project site that may occur after approval of the transformational brownfield plan, if those changes do not result in an aggregate increase in the level of withholding tax capture revenues from the amount initially established. The **Michigan strategic fund may adjust the safe harbor amount for an eligible property, or portion of the eligible property, after the time of plan approval as required to account for withholding-disqualified employees, if the number of withholding-disqualified employees exceeds the amount estimated in the initial safe harbor calculation. Except as otherwise provided in this subparagraph, the** owner or developer of the transformational project site may elect to utilize the safe harbor method of accounting at any time before the first reimbursement of withholding tax capture revenues under the plan. **For any new project approved by the Michigan strategic fund board after December 31, 2026, the owner or developer of the transformational project site must elect to utilize the safe harbor**

method of accounting before approval of the project by the Michigan strategic fund board. An election to utilize the safe harbor method of accounting, once made, cannot be rescinded **for projects approved on or before December 31, 2026,** without approval by the Michigan strategic fund**. As used in this subdivision, "Michigan strategic fund board" means the board of directors of the Michigan strategic fund under section 5 of the Michigan strategic fund act, 1984 PA 270, MCL 125.2005.**

(ooo) ~~(mmm)~~ "Work plan" means a plan that describes each individual activity to be conducted to complete eligible activities and the associated costs of each individual activity.

(ppp) ~~(nnn)~~ "Zone" means, for an authority established before June 6, 2000, a brownfield redevelopment zone designated under this act.

Sec. 13c. (1) Subject to the approval of the governing body and Michigan strategic fund under section 14a, the board may implement a transformational brownfield plan. The transformational brownfield plan may consist of a single development on eligible property or a series of developments on eligible property that are part of a related program of investment, whether or not located on contiguous parcels, and may be amended to apply to additional parcels of eligible property **if each additional parcel of property is a site or property as those terms are defined in part 213, a facility, a historic resource, functionally obsolete, or blighted.** Each amendment to a transformational brownfield plan must be approved by the governing body of the municipality in which it is located and the Michigan strategic fund and must be consistent with the approval requirements in this section.

(2) A transformational brownfield plan may authorize the use

of construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, tax increment revenues, and sales and use tax capture revenues for eligible activities described in section 2(o)(*v*). Except as otherwise provided in section 13b(6)(d), tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues must be used only for the costs of eligible activities included within the transformational brownfield plan to which the revenues are attributable, including the cost of principal of and interest on any obligation to pay the cost of the eligible activities.

(3) A transformational brownfield plan is a brownfield plan and, except as otherwise provided, is subject to sections 13, 13a, 13b, 14, and 15. In addition to the information required under section 13(2), a transformational brownfield plan must contain all of the following:

(a) The basis for designating the plan as a transformational brownfield plan under section 2(hhh).

(b) A description of the costs of the transformational brownfield plan intended to be paid for with construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues.

(c) An estimate of the amount of construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues expected to be generated for each year of the transformational brownfield plan from the eligible property.

(d) The beginning date and duration of capture of construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues for each eligible property as determined under subsections (8) and (11).

(4) Subject to section 14a(7), the transformational brownfield plan may provide for the use of part or all of the tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues. The portion of tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues to be used may vary over the duration of the transformational brownfield plan, but the portion intended to be used must be clearly stated in the transformational brownfield plan.

(5) Approval of a transformational brownfield plan, or an amendment to a transformational brownfield plan, must be in accordance with the notice, approval, and public hearing requirements of sections 14 and 14a, except that the governing body shall provide notice to the Michigan strategic fund not less than 30 days before the hearing on a transformational brownfield plan.

(6) If a transformational brownfield plan authorizes the use of construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, or sales and use tax capture revenues, approval of a combined brownfield plan or work plan by the Michigan strategic fund and a written development or reimbursement agreement between the owner or developer of the eligible property, the authority, and the Michigan strategic fund are required. **For transformational brownfield plans approved after the effective date of the amendatory act that added section 16a,**

the written development or reimbursement agreement must include annual project milestones that must be met to capture taxes or continue to capture taxes. If a plan authorizes the use of tax increment revenues for eligible activities under section 2(o)(*v*) other than eligible activities described in section 13b, approval of a work plan or combined brownfield plan by the Michigan strategic fund to use tax increment revenues for those additional eligible activities is required. A work plan or combined brownfield plan under this subsection must be consolidated with a work plan or combined brownfield plan under section 13b(4). The eligible activities to be conducted must be consistent with the work plan submitted by the authority to the Michigan strategic fund. **As used in this subsection, "milestone" means a goal that must be achieved along a project timeline and that reflects the progress of a project. Milestone may include, but is not limited to, goals regarding construction progress, capital investment, or residential housing completion.**

(7) On approval of the transformational brownfield plan by the governing body and Michigan strategic fund, and the execution of the written development or reimbursement agreement, the transfer and distribution of construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues as specified in this act and in the plan are binding on this state and the collection and transmission of the amount of tax increment revenues as specified in this act and in the plan are binding on all taxing units levying ad valorem property taxes or specific taxes against property subject to the transformational brownfield plan.

(8) A transformational brownfield plan must not authorize the

capture or use of tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, or sales and use tax capture revenues after the year in which the total amount of the revenue captured under the transformational brownfield plan is equal to the sum of the costs permitted to be funded with the revenue under the transformational brownfield plan.

(9) The brownfield authority and Michigan strategic fund may reimburse advances, with or without interest, made by a municipality under section 7(3), a land bank fast track authority, or any other person or entity for costs of eligible activities included within a transformational brownfield plan using tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, or sales and use tax capture revenues attributable to that plan. On approval of the Michigan strategic fund, the amount of tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues authorized to be captured under a transformational brownfield plan may include amounts required for the payment of interest under this subsection. A written development or reimbursement agreement must be entered into under subsection (6) before any reimbursement or payment using tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, or sales and use tax capture revenues may commence. A reimbursement agreement for these purposes and the obligations under that reimbursement agreement are not subject to section 12 or the revised municipal finance act, 2001 PA 34, MCL 141.2101 to

141.2821.

(10) Eligible activities conducted on eligible property before approval of the transformational brownfield plan may be reimbursed from tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues if those costs and the eligible property are subsequently included in a transformational brownfield plan approved by the governing body and Michigan strategic fund, a combined brownfield plan or work plan approved by the Michigan strategic fund, and a written development or reimbursement agreement under subsection (6). Reimbursement under this subsection is limited to eligible expenses incurred within 90 days of the approval of the transformational brownfield plan by the Michigan strategic fund.

(11) The duration of the capture of withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues under a transformational brownfield plan for a particular eligible property must not exceed the lesser of the period authorized under subsection (8) or 20 years from the beginning date of the capture of withholding tax capture revenues income tax capture revenues, and sales and use tax capture revenues for that eligible property. The beginning date for the capture of tax increment revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues for an eligible property must not be later than 5 years following the date the Michigan strategic fund approves the inclusion of the eligible property in a transformational brownfield plan. Subject to the approval of the governing body and Michigan strategic fund, the authority may amend the beginning date of capture of tax increment

revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues to a date not later than 5 years following the date the Michigan strategic fund approved inclusion of the eligible property in the transformational brownfield plan if capture of the revenues under the transformational brownfield plan has not yet commenced. Solely with respect to a related program of investment as defined in subsection (12), subject to the approval of the governing body and Michigan strategic fund, the authority may amend the beginning date of capture of tax increment revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues for an eligible property included within a related program of investment to a date later than 5 years following the date the Michigan strategic fund approved inclusion of the eligible property in the transformational brownfield plan if the governing body and Michigan strategic fund determine that the developer of the related program of investment has proceeded in good faith and made reasonable and substantial progress in the implementation of the related program of investment. **Construction period tax capture revenues may not be captured under a transformational brownfield plan for a particular eligible property after the date that is 5 years after the date the Michigan strategic fund initially approves the transformational brownfield plan.**

(12) For purposes of subsection (1), a series of developments on parcels that are not contiguous is considered a related program of investment if all of the following are met:

(a) The developments are proposed to be undertaken concurrently or in reasonable succession.

(b) For developments under affiliated ownership, the developments are reasonably contiguous and are part of a program of investment in a logically defined geography, including, but not limited to, a downtown district as defined in section 201 of the recodified tax increment financing act, 2018 PA 57, MCL 125.4201, or a principal shopping district or business improvement district as defined in section 1 of 1961 PA 120, MCL 125.981, and including areas that are logically related to those districts and that will promote infill development.

(c) For developments under unrelated ownership, in addition to the criteria described in subdivisions (a) and (b), the developments are part of a master development plan, area plan, sub-area plan, or similar development plan that has been approved or adopted by resolution of the governing body.

(d) The designation of the developments as a related program of investment is consistent with the purposes of this act and is not a combination of unrelated or minimally related projects calculated to meet the minimum investment threshold.

(13) If undeveloped property included in a transformational brownfield plan has been designated as a renaissance zone under the Michigan renaissance zone act, 1996 PA 376, MCL 125.2681 to 125.2696, on the request of the owner or developer of the eligible property and the local governmental unit that designated the zone, the Michigan strategic fund, and a city levying a tax under the city income tax act, 1964 PA 284, MCL 141.501 to 141.787, may elect under section 9(4) of the Michigan renaissance zone act, 1996 PA 376, MCL 125.2689, to terminate the exemptions, deductions, or credits provided for in section 9(1)(b) and (c) of that act, and reimburse the authority, or owner or developer of the eligible property, an annual amount equal to the revenue collected for each

tax year as a result of the termination of the exemptions, deductions, or credits that would otherwise be in effect. In implementing this subsection, all of the following apply:

(a) The authority and Michigan strategic fund shall include amounts anticipated to be collected under this subsection in the income tax capture revenues authorized to be used under the transformational brownfield plan and associated work plan or combined brownfield plan.

(b) The state treasurer shall calculate for each tax year the amount of revenue this state collected as a result of the operation of this subsection and shall deposit that amount as income tax capture revenues into the state brownfield redevelopment fund, where the funds must be transmitted in the manner provided for in sections 8a(4) and 16(8).

(c) A city levying a city income tax under the city income tax act, 1964 PA 284, MCL 141.501 to 141.787, shall calculate for each tax year the amount of revenue the city collected as a result of the operation of this subsection and shall enter into a binding reimbursement agreement with the authority, and owner or developer of the eligible property, providing for the payment of the amounts to the authority, or the owner or developer of the eligible property, for eligible activities as provided in the transformational brownfield plan. City income taxes administered by the department of treasury pursuant to the city income tax act, 1964 PA 284, MCL 141.501 to 141.787, are subject to the procedures of subdivision (b) regarding the calculation and deposit of any revenue collected as a result of the operation of this subsection.

(d) The department of treasury may require the owner or developer to submit any information necessary for the calculation of revenue collected pursuant to the operation of this subsection. This state has no obligation for calculating revenues to be collected pursuant to the operation of this subsection if the required information is not reported.

(14) The authority and governing body are solely responsible for deciding whether to seek approval of a brownfield plan as a transformational brownfield plan. Nothing in this section or section 14a operates to prejudice or limit consideration of a brownfield plan under sections 13 and 14, including a decision by the Michigan strategic fund not to approve a plan as a transformational brownfield plan.

(15) This act does not preclude an authority established by a county from seeking approval of a brownfield plan as a transformational brownfield plan. In the event that an authority established by a county seeks approval of a plan that extends into more than 1 of its component local units of government and that plan includes eligible property in more than 1 municipality that is not a county, the minimum investment requirements of section 2(hhh) must be established with reference to combined population of the municipalities that are not a county in which the eligible property is located.

Sec. 14a. (1) The governing body and Michigan strategic fund shall determine whether to approve a transformational brownfield plan in accordance with this section.

(2) The governing body shall make an initial determination as to whether the transformational brownfield plan constitutes a public purpose in accordance with section 14(5). If the governing body determines the transformational brownfield plan does not constitute a public purpose, it shall reject the transformational

brownfield plan.

(3) If the governing body determines that the transformational brownfield plan constitutes a public purpose, the governing body may then approve or reject the transformational brownfield plan, or approve it with modification, by resolution based on all of the following considerations:

(a) Whether the transformational brownfield plan meets the requirements of section 2(hhh), which must include a determination that the transformational brownfield plan is calculated to, and has the reasonable likelihood to, have a transformational impact on local economic development and community revitalization based on the extent of brownfield redevelopment and growth in population, commercial activity, and employment that will result from the transformational brownfield plan.

(b) Whether the transformational brownfield plan meets the requirements of sections 13, 13b, and 13c.

(c) Whether the costs of eligible activities proposed are reasonable and necessary to carry out the purposes of this act.

(d) Whether the amount of captured taxable value, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues estimated to result from adoption of the transformational brownfield plan are reasonable.

(e) Whether the transformational brownfield plan takes into account the criteria described in section 90b(4) of the Michigan strategic fund act, 1984 PA 270, MCL 125.2090b.

(f) Whether subject to subsection (22)(d), the transformational brownfield plan includes provisions for affordable housing.

(4) Within 90 days of the completion of an administratively complete application and the analysis required under subsection (5), the Michigan strategic fund shall approve or reject the transformational brownfield plan, or approve it with modification, by resolution based on the criteria in subsection (3).

(5) In determining whether to approve a transformational brownfield plan under subsection (3)(c) and (d), the Michigan strategic fund shall conduct a financial and underwriting analysis of the developments included in the plan. The analysis must consider both projected rental rates at the time of project delivery and potential increases in rental rates over time. ~~The~~ **Except as otherwise provided in this subsection, the** Michigan strategic fund shall not approve the use of construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues beyond the amount determined to be necessary for the project to be economically viable. The Michigan strategic fund shall develop standardized underwriting criteria for determining economic viability. The Michigan strategic fund shall take into account the impact of the sales and use tax exemptions under section 4d(n) of the general sales tax act, 1933 PA 167, MCL 205.54d, and section 4dd of the use tax act, 1937 PA 94, MCL 205.94dd, in determining the amount of construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues required for the project to be economically viable. The Michigan strategic fund shall ensure that each transformational brownfield plan includes a significant equity contribution from the owner or developer as determined by the **Michigan strategic** fund.

(6) The Michigan strategic fund shall require an independent, third-party underwriting analysis under subsection (3)(d) **and an independent, third-party analysis of the plan's anticipated fiscal benefits to this state** for any plan that **either** proposes to use more than $10,000,000.00 in any year in withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues, as determined by the first full year of tax capture under the plan, **or is using the safe harbor method of calculation under section 2(dd)(*iii*) or (nnn)(*iv*) and the actual capital investment, as determined in accordance with section 2(o)(*v*) and (hhh), has a total development cost of $100,000,000.00 or more.** The cost of the independent, third-party ~~underwriting analysis~~ **analyses** must be paid by the owner or developer of the eligible property. In addition to the independent, third-party underwriting analysis **and the independent, third-party analysis of the plan's anticipated fiscal benefits to this state**, the Michigan strategic fund shall require an independent, third-party analysis of the sales and use tax capture revenue estimates for any plan that includes sales and use tax capture revenues. The cost of the independent, third-party analysis must be paid by the owner or developer of the eligible property. ~~The Michigan strategic fund shall consult with the state treasurer before approving any transformational brownfield plan subject to this subsection.~~ This subsection does not limit the ability of the Michigan strategic fund to utilize independent, third-party analyses on plans not subject to this subsection.

(7) Except as otherwise provided in this subsection, the Michigan strategic fund may not approve a transformational brownfield plan that proposes to use more than 50% of the

withholding tax capture revenues or 50% of the income tax capture revenues. The Michigan strategic fund may modify the amount of withholding tax capture revenues and income tax capture revenues before approving a transformational brownfield plan to bring the transformational brownfield plan into compliance with subsection (5). The Michigan strategic fund may approve a transformational brownfield plan that proposes to use more than 50% of the income tax capture revenues if 1 of the following applies:

(a) The income tax capture revenues are attributable to the election under section 13c(13).

(b) The applicable eligible properties within the transformational brownfield plan are subject to a written, binding ~~affordable~~ housing agreement with the local governmental unit **that provides that not less than 20% of the residential housing units on the eligible property must be used for affordable housing**, which agreement must be provided to the Michigan strategic fund, in which case the Michigan strategic fund may approve a transformational brownfield plan that proposes to use up to 100% of the income tax capture revenues, subject to the underwriting and financial analysis required under subsection (5). **As used in this subdivision, "affordable housing" means residential housing units that are rented or sold to income qualified households.**

(8) The Michigan strategic fund shall require the owner or developer of the eligible property to certify the actual capital investment, as determined in accordance with section 2(o)(*v*) and (hhh), on the completion of construction and before the commencement of reimbursement from withholding tax capture revenues, income tax capture revenues, sales and use tax capture revenues, or tax increment revenues, for the plan or the distinct

phase or project within the plan for which reimbursement will be provided. If the actual capital investment is less than the amount included in the plan, the Michigan strategic fund shall review the determination under subsection (5) and may modify the amount of reimbursement if, and to the extent, such a modification is necessary to maintain compliance with subsection (5). The transformational brownfield plan, work plan, and development and reimbursement agreement must include provisions to enforce the requirements and remedies under this subsection. If the actual level of capital investment does not meet the applicable minimum investment requirement under section 2(hhh) and is outside of the safe harbor under subsection (15), the Michigan strategic fund ~~may~~ **shall** take 1 **or more** of the following remedial actions:

(a) ~~For a plan that consists of a single development, reduce~~ **Reduce** the amount of reimbursement under the plan.

(b) ~~For a plan that consists of distinct phases or projects, if~~ **If** the failure to meet the minimum investment threshold is the result of failure to undertake additional distinct phases or projects as provided for in the plan, 1 or more of the following:

(*i*) Permanently rescind the authorization to use tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues for the additional distinct phases or projects in the plan.

(*ii*) ~~If the Michigan strategic fund determines that the applicable owner or developer acted in bad faith, reduce~~ **Reduce** the amount of reimbursement for completed phases of the plan.

(c) If the Michigan strategic fund determines that the applicable owner or developer acted in bad faith with respect to

the level of capital investment, cease all reimbursement under the plan.

(9) On approval by the Michigan strategic fund, the minimum investment requirements in section 2(hhh) and limitation under subsection (22)(a) and (b) may be waived if the transformational brownfield plan meets 1 of the following criteria:

(a) Is for eligible property in an area approved by the Michigan state housing development authority as eligible for blight elimination program funding under the housing finance agency innovation fund for the hardest hit housing markets authorized pursuant to the emergency economic stabilization act of 2008, division A of Public Law 110-343, 12 USC 5201 to 5261. For purposes of this subdivision, an area approved as eligible for blight elimination program funding means that specific portion or portions of a municipality where the Michigan state housing development authority approved the expenditure of blight elimination program funds pursuant to an application identifying the target areas.

(b) Is for eligible property in a municipality that was subject to a state of emergency under the emergency management act, 1976 PA 390, MCL 30.401 to 30.421, issued for drinking water contamination.

(c) Is for eligible property that is a historic resource if the Michigan strategic fund determines the redevelopment is not economically feasible absent the transformational brownfield plan.

(d) Is for eligible property that is located in a city, village, or township with a population of less than 25,000 or that is otherwise eligible for the corresponding population tier in section 2(hhh)(*vi*), as determined in accordance with subsection (15), if the Michigan strategic fund determines that the redevelopment is not economically feasible absent the transformational brownfield plan.

(10) In determining whether a plan under subsection (9) has a transformational impact for purposes of section 2(hhh) and subsection (3)(a), the governing body and Michigan strategic fund shall consider the impact of the transformational brownfield plan in relation to existing investment and development conditions in the project area and whether the transformational brownfield plan will act as a catalyst for additional revitalization of the area in which it is located.

(11) The Michigan strategic fund may not approve more than 5 transformational brownfield plans under subsection (9) in a calendar year, except that if the Michigan strategic fund approves fewer than 5 plans in a calendar year under subsection (9), the unused approval authority carries forward into future calendar years and remains available until December 31, ~~2027.~~ **2032.** The Michigan strategic fund also shall not approve more than 5 transformational brownfield plans under subsection (9) in any individual city, village, or township before December 31, 2022.

(12) Except as otherwise provided in this subsection, amendments to an approved transformational brownfield plan must be submitted by the authority to the governing body and to the Michigan strategic fund for approval or rejection following the same notice necessary for approval or rejection of the original transformational brownfield plan. Notice is not required for revisions in the estimates of tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, or sales and use tax capture revenues.

(13) Except as provided in this subsection, an amendment to an

approved transformational brownfield plan under section 13c(1) is not considered a new plan approval subject to the limitation in subsection (22)(a). The Michigan strategic fund may consider an amendment as a new plan approval only if the amendment adds eligible property and the Michigan strategic fund determines that approving the addition as an amendment would be inconsistent with the purposes of this act.

(14) The procedure, adequacy of notice, and findings under this section are presumptively valid unless contested in a court of competent jurisdiction within 60 days after approval of the transformational brownfield plan by the Michigan strategic fund. An approved amendment to a conclusive transformational brownfield plan is likewise conclusive unless contested within 60 days after approval of the amendment by the Michigan strategic fund. If a resolution adopting an amendment to the transformational brownfield plan is contested, the original resolution adopting the transformational brownfield plan is not open to contest.

(15) The determination as to whether a transformational brownfield plan complies with the minimum investment requirements in section 2(hhh) must be made with reference to the most recent decennial census data available at the time of approval by the authority. A plan in a municipality that exceeds a population tier under section 2(hhh) by not more than 10% of the maximum population for that tier is, on election of the authority, subject to the investment requirement for that tier. A transformational brownfield plan that is expected to result in, or does result in, a total capital investment that is within 10% of the applicable minimum investment requirement is considered to satisfy the applicable requirement under section 2(hhh).

(16) For purposes of a transformational brownfield plan, determination as to whether property is functionally obsolete may include considerations of economic obsolescence as determined in accordance with the Michigan state tax commission's assessor's manual.

(17) Any positive or negative determination by the Michigan strategic fund under this section must be supported by objective analysis and documented in the record of its proceedings.

(18) The Michigan strategic fund shall charge and collect a reasonable application fee as necessary to cover the costs associated with the review and approval of a transformational brownfield plan.

(19) ~~The~~ **Except as otherwise provided in this subsection, the** Michigan strategic fund shall not commit, and the department of treasury shall not disburse, more than $80,000,000.00 in total annual tax capture. As used in this subsection, "total annual tax capture" means the total annual amount of income tax capture revenues, withholding tax capture revenues, and sales and use tax capture revenues that may be reimbursed each calendar year under all transformational brownfield plans. In addition to the $80,000,000.00 annual limit, ~~both~~ **all** of the following provisions apply:

(a) The Michigan strategic fund may commit, and the department of treasury may disburse, an additional $80,000,000.00 in total annual tax capture if the additional amount is used for new transformational brownfield plans and not existing transformational brownfield plans. As used in this subdivision and subdivision (b):

(*i*) "Existing transformational brownfield plan" means a transformational brownfield plan that is approved before the

effective date of the amendatory act that added section 16a, regardless of whether that transformational brownfield plan is amended after the effective date of the amendatory act that added section 16a and regardless of whether an amendment to that transformational brownfield plan is considered a new plan approval by the Michigan strategic fund under section 14a(13).

(*ii*) "New transformational brownfield plan" means a transformational brownfield plan that is approved on or after the effective date of the amendatory act that added section 16a.

(b) ~~(a)~~ With respect to the availability of uncommitted amounts, if an amount authorized to be committed for a calendar year has not been committed, the uncommitted amount for that calendar year remains available to be committed and disbursed in a subsequent calendar year and is in addition to the annual limits otherwise applicable. **An amount that, as a result of a remedial action under subsection (8), is not disbursed or is repaid is considered an uncommitted amount for purposes of this subdivision.** However, not more than $30,000,000.00 may be committed or disbursed in any calendar year above the ~~$80,000,000.00~~ **$160,000,000.00 total** annual limit as a result of the operation of this subdivision, and all commitments and disbursements under this subdivision remain subject to the overall limitation in subsection (20). **An uncommitted amount described in this subdivision may be used for existing transformational brownfield plans or new transformational brownfield plans, as determined by the Michigan strategic fund, regardless of whether the uncommitted amount is attributable to the additional amount described in subdivision (a).**

(c) ~~(b)~~ With respect to the availability of committed but undisbursed amounts, if an amount has been committed under an approved transformational brownfield plan for a calendar year but has not been disbursed, the undisbursed amount for that year is available to be disbursed in a subsequent calendar year and is in addition to the annual limit otherwise applicable.

(20) The Michigan strategic fund shall not commit, and the department of treasury shall not disburse, a total amount of income tax capture revenues, withholding tax capture revenues, and sales and use tax capture revenues that exceeds ~~$1,600,000,000.00.~~**$3,200,000,000.00.**

(21) The Michigan strategic fund shall not approve more than a total of $200,000,000.00 in construction period tax capture revenues **and projected sales and use tax exemptions under section 4d(n) of the general sales tax act, 1933 PA 167, MCL 205.54d, and section 4dd of the use tax act, 1937 PA 94, MCL 205.94dd. However, sales and use tax exemptions approved before the effective date of the amendatory act that added section 16a do not have to be included in determining whether the $200,000,000.00 limit is met.** The Michigan strategic fund shall project the value of the sales and use tax exemptions under each transformational brownfield plan at the time of plan approval and shall require such information from the owner or developer as is necessary to perform this calculation. The Michigan strategic fund also shall require the owner or developer of the eligible property to report the actual value of the sales and use tax exemptions each tax year of the construction period and at the end of the construction period. **If the value of the actual sales and use tax exemptions and construction period tax capture revenues under all transformational brownfield plans exceeds the limit of $200,000,000.00 under this subsection by more than a de minimis amount, as determined by the**

state treasurer, the state treasurer shall take corrective action and may reduce future disbursements to achieve compliance with this subsection. The corrective action described in this subsection shall not reduce the disbursement for an individual plan by an amount that is more than the amount by which the value of the sales and use tax exemptions for that plan exceeded the amount projected at the time of plan approval and included in the plan. The state treasurer shall not reduce the disbursement for an individual plan whose sales and use tax exemptions do not have to be included in determining whether the $200,000,000.00 limit is met. The Michigan strategic fund and the department of treasury shall prescribe specific methods for implementing this subsection and subsection (25) not later than 120 days after the effective date of the amendatory act that added section 16a.

(22) The Michigan strategic fund shall comply with all of the following:

(a) Not approve more than 5 transformational brownfield plans in a calendar year, except that if the Michigan strategic fund approves fewer than 5 plans in a calendar year, the unused approval authority carries forward into future calendar years and remains available. ~~until December 31, 2027.~~

(b) Not approve more than 5 transformational brownfield plans in any individual city, village, or township before December 31, 2022.

(c) ~~Ensure an equitable geographic distribution of plans approved under this subsection, which must achieve a balance between the needs of municipalities of differing sizes and differing geographic areas of the state.~~ Subject to the receipt of qualified transformational brownfield plans meeting the criteria under this section and section 13c, ~~the Michigan strategic fund shall~~ ensure that ~~both of the following requirements are met:~~**transformational brownfield plans approved under this act are distributed equally, to the extent practicable, between all of the following:**

(*i*) ~~Not less than 33% and not more than 38% of the total transformational brownfield plans approved under this act before December 31, 2027 will be located in cities,~~ **Cities**, villages, and townships with a population of less than 100,000.

(*ii*) ~~Not less than 33% and not more than 38% of the total transformational brownfield plans approved under this act before December 31, 2027 will be located in cities,~~ **Cities**, villages, and townships with a population of not less than 100,000 and not more than 225,000.

(*iii*) Cities, villages, and townships with a population of more than 225,000.

(d) In coordination with the governing body, shall determine the appropriate provisions regarding affordable housing on a plan-by-plan basis. **A transformational brownfield plan for a project that includes the development of residential housing on the eligible property must not be approved after the effective date of the amendatory act that added section 16a unless it includes an affordable housing component. As used in this subdivision, "affordable housing" means residential housing units that are rented or sold to income qualified households.**

(23) In the event of a proposed change in ownership of eligible property subject to a transformational brownfield plan for which reimbursement will continue, the approval of the Michigan strategic fund is required before the assignment or transfer of the

development and reimbursement agreement.

(24) If the Michigan strategic fund approves a transformational brownfield plan and work plan, and subsequent to that approval, amendments are made to this act, the Michigan strategic fund may amend those plans to make conforming and consistent changes to the approved transformational brownfield plan and work plan on an administrative basis, if those changes do not result in any increase in the aggregate total amount of reimbursement authorized under the initial transformational brownfield plan. The authority of the Michigan strategic fund to administratively amend transformational brownfield plans and work plans under this subsection also applies to transformational brownfield plans and work plans entered into before December 27, 2021.

~~(25) The Michigan strategic fund shall not approve any new transformational brownfield plans after December 31, 2027. A transformational brownfield plan approved before December 31, 2022 remains in effect and may be amended in accordance with this act.~~

(25) For transformational brownfield plans approved on or after the effective date of the amendatory act that added section 16a, the Michigan strategic fund shall not approve more than $300,000,000.00 in total construction period tax capture revenues, income tax capture revenues, sales and use tax capture revenues, withholding tax capture revenues, and projected sales and use tax exemptions under section 4d(n) of the general sales tax act, 1933 PA 167, MCL 205.54d, and section 4dd of the use tax act, 1937 PA 94, MCL 205.94dd, for a single transformational brownfield plan. If the value of the actual sales and use tax exemptions, construction period tax capture revenues, income tax capture revenues, sales and

use tax capture revenues, and withholding tax capture revenues for a transformational brownfield plan approved on or after the effective date of the amendatory act that added section 16a exceeds the limit of $300,000,000.00 under this subsection by more than a de minimis amount, as determined by the state treasurer, the state treasurer shall take corrective action and may reduce future disbursements or require repayment of past disbursements, to achieve compliance with the aggregate limitation under this subsection.

(26) On approval by the Michigan strategic fund, the mixed-use requirement in section 2(hhh) may be waived for a brownfield plan that otherwise meets the location, population, and minimum investment requirement under section 2(hhh)(*vi*).

Sec. 16. (1) The municipal and county treasurers shall transmit tax increment revenues to the authority not ~~more~~ **later** than 30 days after tax increment revenues are collected.

(2) The authority shall expend the tax increment revenues received only in accordance with the brownfield plan. All surplus funds not deposited in the local brownfield revolving fund of the authority under section 8 must revert proportionately to the respective taxing bodies, except as provided in section 15(16).

(3) The authority shall submit annually to the governing body, the department, the Michigan state housing development authority, and the Michigan strategic fund a financial report on the status of the activities of the authority for each calendar year. The report must include all of the following:

(a) The total amount of local taxes that are approved for capture and the total amount of taxes levied for school operating purposes that are approved for capture for each parcel included in a brownfield plan.

(b) The amount and purpose of expenditures of tax increment revenues.

(c) The amount and source of tax increment revenues received for each active brownfield plan **that is not a transformational brownfield plan**, including the amount of tax increment revenues captured in the most recent tax year and the cumulative amount of tax increment revenues captured for each brownfield plan **that is not a transformational brownfield plan, and the amount and source of tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues received for each active brownfield plan that is a transformational brownfield plan, including the amount of tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues captured in the most recent tax year and the cumulative amount of tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues captured for each brownfield plan that is a transformational brownfield plan**.

(d) The initial taxable value of all eligible property subject to the brownfield plan.

(e) The captured taxable value realized by the authority for each eligible property subject to the brownfield plan.

(f) The amount of actual capital investment made for each project.

(g) The amount of tax increment revenues attributable to taxes levied for school operating purposes used for activities described in section 13b(6)(c), section 2(o)(*i*)(F) and (G), and section 2(o)(*iii*)(B) and (C).

(h) The number of residential units constructed or rehabilitated for each project.

(i) The amount, by square foot, of new or rehabilitated residential, retail, commercial, or industrial space for each project.

(j) The number of new jobs created at the project.

(k) A copy of all brownfield plan amendments approved by the local governmental unit.

(*l*) All additional information that the governing body, the department, or the Michigan strategic fund considers necessary.

(4) ~~The department, the Michigan state housing development authority, and the Michigan strategic fund shall collect the financial reports submitted under subsection (3), compile a combined report that includes the use of local taxes, taxes levied for school operating purposes, and the state brownfield redevelopment fund, based on the information contained in those reports and any additional information considered necessary, and submit annually a report based on that information to each member of the legislature.~~**Not later than April 1, 2027, the Michigan strategic fund shall create a searchable dataset of all work plans approved under this act. The Michigan strategic fund shall compile the information on work plans approved by the Michigan strategic fund, the department, the department of treasury, and the Michigan state housing development authority into the dataset. The dataset must be available to the public on the website of the Michigan strategic fund or the Michigan economic development corporation. At a minimum, the dataset must be searchable by location, project**

name, and the name of the owner or developer of the project. The Michigan strategic fund does not have to include information regarding work plans that expire, or are abolished or terminated, before April 1, 2027, in the dataset. However, information regarding work plans that expire, or are abolished or terminated, on or after April 1, 2027 must be retained in the dataset. The department, the department of treasury, and the Michigan state housing development authority shall cooperate with the Michigan strategic fund as necessary for the creation and maintenance of the dataset under this subsection and are responsible for confirming their own data for the dataset created under this subsection.

(5) ~~Beginning on January 1, 2013,~~ **The Michigan strategic fund shall, on a quarterly basis, update the dataset described in subsection (4) with** all of the following ~~reporting obligations apply:~~**information:**

(a) The ~~department shall on a quarterly basis post on its website the~~ name, location, and amount of tax increment revenues, including taxes levied for school operating purposes, for each project approved by the department under this act during the immediately preceding quarter, **which information must be provided by the department to the Michigan strategic fund.**

(b) The ~~Michigan strategic fund shall on a quarterly basis post on its website the~~ name, location, and amount of tax increment revenues, including taxes levied for school operating purposes, for each project approved by the Michigan strategic fund under this act during the immediately preceding quarter.

(c) The ~~Michigan state housing development authority shall on a quarterly basis post on its website the~~ name, location, and amount of tax increment revenues, including taxes levied for school operating purposes, for each project approved by the Michigan state housing development authority under this act during the immediately preceding quarter, **which information must be provided by the Michigan state housing development authority to the Michigan strategic fund.**

(6) In addition to any other requirements under this act, not less than once every ~~3~~ **4** years, ~~beginning not later than June 30, 2008,~~ the auditor general shall conduct and report a performance postaudit on the effectiveness of the program established under this act. As part of the performance postaudit, the auditor general shall assess the extent to which the implementation of the program by the department, the Michigan state housing development authority, and the Michigan strategic fund facilitate and affect the redevelopment or reuse of eligible property and identify any factors that inhibit the program's effectiveness. The performance postaudit must also assess the extent to which the interpretation of statutory language, the development of guidance or administrative rules, and the implementation of the program by the department, the Michigan state housing development authority, and the Michigan strategic fund is consistent with the fundamental objective of facilitating and supporting timely and efficient brownfield redevelopment of eligible properties. **If the performance postaudit indicates that transformational brownfield plans under the program are not resulting in the expected levels of capital investment, the Michigan strategic fund must review the transformational brownfield plans and determine whether an action described in section 14a(8) should be taken.**

(7) The owner or developer for an active project included within a brownfield plan must annually submit to the authority a

report on the status of the project. The report must be in a form developed by the authority and must contain information necessary for the authority to report under subsection (3)(f), (h), (i), (j), and (k). The authority may waive the requirement to submit a report under this subsection. As used in this subsection, "active project" means a project for which the authority is currently capturing taxes under this act.

(8) For a transformational brownfield plan, all of the following also apply:

(a) The state treasurer shall transfer to the state brownfield redevelopment fund each fiscal year an amount equal to the construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues under all approved plans as provided for in section 8a(4). Funds must be transmitted to the authority, or owner or developer of the eligible property to which the revenues are attributable, not later than 30 days after transfer to the state brownfield redevelopment fund.

(b) The authority, the department, **the department of treasury**, **the Michigan state housing development authority**, and the Michigan strategic fund shall follow the reporting **and dataset** requirements of subsections (3), (4), and (5), **as applicable to each entity**, with respect to all approved transformational brownfield plans, and shall provide information on the amount and use of construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues to the same extent required for tax increment revenues.

(c) The owner or developer of active projects included within a transformational brownfield plan shall provide the information required for the authority, the department, **the department of treasury, the Michigan state housing development authority**, and the Michigan strategic fund to satisfy the reporting, **dataset**, and audit requirements of this section.

(9) If activities of the authority include housing development activities, the report under subsection (3) must also include all of the following:

(a) The number of housing units produced.

(b) The number of income qualified purchaser households served.

(c) The number of income qualified renting households assisted.

(d) For the initial reporting period, the prices at which the housing units were sold or rented.

(e) Racial and socioeconomic data on the individuals purchasing or renting the housing units, or, if this data is not available, racial and socioeconomic data on the census tract in which the housing units are located.

(10) As used in this section, "Michigan economic development corporation" means that term as defined in section 4 of the Michigan strategic fund act, 1984 PA 270, MCL 125.2004.

Sec. 16a. (1) In addition to any other requirements under this act, a dedicated webpage for the transformational brownfield program must be made available to the public on the website of the Michigan strategic fund or the Michigan economic development corporation.

(2) The transformational brownfield program webpage must include all of the following information:

(a) Notice of a meeting of the Michigan strategic fund board

that will occur on or after the effective date of the amendatory act that added this section and that will consider approval of a transformational brownfield plan or an amendment to a transformational brownfield plan.

(b) For each meeting described in subdivision (a), all of the following information, as applicable, which must be made available before the meeting occurs:

(*i*) Documents, reports, and other information distributed in the board packet to the members of the Michigan strategic fund board related to the approval of the transformational brownfield plan or an amendment to the transformational brownfield plan.

(*ii*) If the approval is for an amendment to a transformational brownfield plan, a summary of the amendment and the date of the amendment.

(c) Any other documents prepared or received by the Michigan strategic fund board in connection with the approval of transformational brownfield plans or amendments to transformational brownfield plans on or after the effective date of the amendatory act that added this section, including, but not limited to, all of the following:

(*i*) The financial and underwriting analysis conducted under section 14a(5).

(*ii*) Independent, third-party analyses received under section 14a(6).

(*iii*) Any other economic and fiscal impact analyses prepared or received by the Michigan strategic fund board.

(d) Audit reports prepared or received by the Michigan strategic fund with respect to transformational brownfield plans, including but not limited to the postaudit report described in

section 16(6).

(e) Recordings of meetings under section 16b.

(f) For each project under a transformational brownfield plan approved on or after the effective date of the amendatory act that added this section, a list of the annual project milestones that must be met and the status of each milestone. If the deadline for a milestone has passed, the status must include whether the milestone was met, not met, or adjusted. The information described in this subdivision must be updated not less than annually.

(g) For each calendar year that ends on or after the effective date of the amendatory act that added this section, a list of each project under a transformational brownfield plan that received transformational brownfield sales and use tax exemptions or state tax revenues and, for each project listed, the total capital investment in the project as of the last day of the calendar year, the amount of transformational brownfield sales and use tax exemptions received during the calendar year, and the amount of state tax revenues received during the calendar year, broken down by construction period tax capture revenues, income tax capture revenues, sales and use tax capture revenues, and withholding tax capture revenues. Information under this subdivision for a calendar year must be posted on the webpage by the April 1 immediately following the end of the calendar year.

(h) For each calendar year that ends on or after the effective date of the amendatory act that added this section, all of the following information regarding the limit on the commitment or disbursement of total annual tax capture under section 14a(19), the information must be updated on a rolling basis, but not less than quarterly:

(*i*) The amount of the limit on the commitment and disbursement of total annual tax capture under section 14a(19), broken down as described in section 14a(19).

(*ii*) The amounts that have been committed and disbursed to date, broken down as described in section 14a(19) and further broken down by income tax capture revenues, sales and use tax capture revenues, and withholding tax capture revenues.

(*iii*) The remaining amount available for commitment or disbursement under section 14a(19).

(i) All of the following information regarding the limit on the total amount of income tax capture revenues, withholding tax capture revenues, and sales and use tax capture revenues that may be committed or disbursed under section 14a(20), the information must be updated on a rolling basis, but not less than quarterly:

(*i*) The amount of the limit on the total amount of income tax capture revenues, withholding tax capture revenues, and sales and use tax capture revenues that may be committed or disbursed under section 14a(20).

(*ii*) The total amount of income tax capture revenues, withholding tax capture revenues, and sales and use tax capture revenues that have been committed or disbursed to date, broken down by income tax capture revenues, withholding tax capture revenues, and sales and use tax capture revenues.

(*iii*) The remaining amount available to be committed or disbursed under section 14a(20).

(j) All of the following information regarding the limit on the approval of construction period tax capture revenues and transformational brownfield sales and use tax exemptions under section 14a(21), which information must be updated on a rolling

basis, but not less than quarterly:

(*i*) The amount of the limit on construction period tax capture revenues and transformational brownfield sales and use tax exemptions under section 14a(21).

(*ii*) The total amount of construction period tax capture revenues and, unless excluded in determining whether the limit has been met under section 14a(21), transformational brownfield sales and use tax exemptions that have been approved to date, broken down by construction period tax capture revenues and transformational brownfield sales and use tax exemptions.

(*iii*) The remaining amount available for approval under section 14a(21).

(k) A record of the total amount of tax revenues that have been paid each year under the transformational brownfield program since the enactment of the program, broken down by project name and further broken down by construction period tax capture revenues, income tax capture revenues, sales and use tax capture revenues, tax increment revenues, and withholding tax capture revenues. Tax increment revenues must be further broken down by local taxes and taxes levied for school operating purposes. The department of treasury shall cooperate with the Michigan strategic fund as necessary to make the information required under this subsection available on the transformational brownfield program webpage.

(*l*) A projected schedule of annual distributions of tax revenues in future years, broken down by construction period tax capture revenues, income tax capture revenues, sales and use tax capture revenues, tax increment revenues, and withholding tax capture revenues. Tax increment revenues must be further broken down by local taxes and taxes levied for school operating purposes.

(m) A record of the total amount of transformational brownfield sales and use tax exemptions that have been paid each year under the transformational brownfield program since the enactment of the program, broken down by project name.

(n) A projected schedule of annual transformational brownfield sales and use tax exemptions that will be provided in future years.

(o) A list of each transformational brownfield plan approved under the transformational brownfield program since the enactment of the program and, for each plan listed, all of the following information, which information must be updated on a rolling basis, but not less than annually:

(*i*) Subject to section 14a(15), the minimum amount of capital investment required under section 2(hhh).

(*ii*) The actual level of capital investment.

(*iii*) The amount of the significant equity contribution from the owner or developer described in section 14a(5).

(3) For purposes of this section, a document is considered prepared or received by the Michigan strategic fund if the document is prepared or received by the Michigan strategic fund or an authorized officer, employee, or agent of the Michigan strategic fund, including the Michigan economic development corporation or an employee of the Michigan economic development corporation.

(4) As used in this section:

(a) "Michigan economic development corporation" means that term as defined in section 4 of the Michigan strategic fund act, 1984 PA 270, MCL 125.2004.

(b) "Michigan strategic fund board" means the board of directors of the Michigan strategic fund under section 5 of the Michigan strategic fund act, 1984 PA 270, MCL 125.2005.

(c) "State tax revenues" means construction period tax capture revenues, income tax capture revenues, sales and use tax capture revenues, and withholding tax capture revenues.

(d) "Tax revenues" means state tax revenues and tax increment revenues.

(e) "Total annual tax capture" means that term as defined in section 14a(19).

(f) "Transformational brownfield program" means the program under this act pursuant to which transformational brownfield plans may be approved and implemented.

(g) "Transformational brownfield program webpage" means the webpage for the transformational brownfield program required under subsection (1).

(h) "Transformational brownfield sales and use tax exemptions" means the sales and use tax exemptions under section 4d(n) of the general sales tax act, 1933 PA 167, MCL 205.54d, and section 4dd of the use tax act, 1937 PA 94, MCL 205.94dd.

Sec. 16b. (1) A meeting of the Michigan strategic fund board that will consider approval of a transformational brownfield plan or an amendment to a transformational brownfield plan must be livestreamed and recorded.

(2) As used in this section, "Michigan strategic fund board" means the board of directors of the Michigan strategic fund under section 5 of the Michigan strategic fund act, 1984 PA 270, MCL 125.2005.